

LICENCIATE EXAM MODULE

IC-01

(Principles of Insurance)

Mock Tests

An Agency Sales Administration Initiative

2011

MOCK TEST 1

1. State which Statement is true.

Statement A - Risk arises out of uncertainty.

Statement B - Risk arises out of certainty of event.

- a) *A is correct*
- b) *B is correct*
- c) *Both statements are correct*
- d) *Both statements are Wrong.*

2. State which Statement is correct.

Statement A - The greater is the uncertainty, greater is the risk.

Statement B - The Lesser is the uncertainty. Lesser is the risk.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

3. Which of the statement is correct

Statement A - A Peril is cause of Loss.

Statement B - A Hazard is cause of Loss.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

4. Which statement is correct

Statement A - The burning of house is an example of particular risk

Statement B - The unemployment is an example of fundamental risk.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*

5. Following is basic pure risk an individual has to face,

- a) *Insolvency*
- d) *Poverty*
- c) *Premature Death*
- d) *All the three*
- e) *None of this.*

6. State Which of the statement is correct

Statement A - The term pure risk indicates the situation that involve loss or no Loss

Statement B - Speculative risk indicates the situation of possibility of gain.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

7. State Which of the following is correct

Statement A - Premature death is a pure risk.

Statement B - Premature death is a speculative risk.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

8. Which is not a method of handling risk.

- a) *Risk may be avoided*
- b) *Risk may be shared*
- c) *Risk may be transferred.*
- d) *Risk may be neglected.*
- e) *None of this*

9. State Which of the following is correct

Statement A - Insurance reduces the extent of financial loss connected with the event.

Statement B - Insurance reduces the uncertainty of occurrence of an event.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived*

10. State Which is correct

Statement A - The insurance policy is only evidence of contract

Statement B - The insurance policy is itself a contract.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are wrong.*
- d) *Both the statements are correct.*
- e) *No answer can be derived.*

11. State Which is correct

Statement A- The conditions which appear on the policy are the express conditions.

Statement B- The conditions which do not appear on the policy are called implied conditions.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*

12. State Which is correct

Statement A- Insurable interest and utmost good faith is express condition.

Statement B- Exclusion of accident benefit is implied condition.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

13. State Which is correct

Statement A- There is provision of Issue of cover note in motor insurance. **Statement B-** Sometimes cover note is issued in life insurance also,

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*

14. State Which is correct

Statement A- In life insurance, the risk starts when premium is paid and acceptance letter is Issued.

Statement B- In general insurance the risk starts when cover note is issued..

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

15. State Which is correct

Statement A- Non payment of premium implies that contract is not renewed.

Statement B- Non payment of premium will lead to lapsation of policy.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*

16. State Which is correct

Statement A- Once the renewal premium is paid, the cover is started from that date.

Statement B- Once the renewal premium is paid, the cover is started from the renewal date.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are wrong.*
- d) *Both the statements are correct.*

17. State Which is correct

Statement A- In motor Insurance days of grace do not apply to pay the Renewal premium.

Statement B- In life insurance days of grace apply to pay the renewal premium.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct-*
- d) *Both the statements are wrong.*

18. State Which is correct

Statement A- Insurance commission is fixed percentage of premium applicable to all policies.

Statement B- Insurance commission payable varies for different classes of business.

- a) *A is correct*
- b) *B is correct.*
- c) *Both the statements are wrong.*
- d) *No answer can be derived.*

19. State Which is correct

Statement A- An Insurer broker is an employee of insurance company.

Statement B- An insurance broker is deemed to be an independent professional.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*
- e) *No answer can be derived.*

20. Which is not the component of policy document.

- a) *The preamble*
- b) *The proposal*
- c) *Policy schedule*
- d) *Operative clause.*

21. An Indian Insurer who was the first to cover Indian lives at normal rates

- a) *Oriental life insurance company.*
- b) *Bombay life assurance company.*
- c) *Madras equitable life Insurance company,*
- d) *Bombay mutual life assurance society.*
- e) *Life Insurance Corporation of India.*

22. Life insurance corporation came into existence on

- a) *1st Sept 1956*
- b) *1st Jan 1973*
- c) *19th Jan 1956*
- d) *30th sept 1956*

23. General Insurance business in India was nationalized from

- a) *1st Sept 1956*
- b) *1st Jan 1973*
- c) *19th Jan 1956*
- d) *15th Jan 1999*

24. Postal Life Insurance Scheme provides Life insurance coverage to

- a) *Government employees*
- b) *Public sector employees*
- c) *General public in rural areas*
- d) *All of three,*
- e) *None of the this*

25. Actuary derives the title through passing the qualifying examination of professional bodies such as

- a) *Actuarial Society*
- b) *Insurance Institute of India*
- c) *Institute of actuaries Delhi*
- d) *Chartered Insurance Institute London.*

26. State Which is correct

Statement A- The solvency of an insurance company corresponds to its ability to pay claims.

Statement B- An insurer is insolvent If its assets are not adequate or cannot be disposed of in time to pay the claims arising.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct,*
- d) *Both the statements are wrong.*

27. It is the cheapest form of Assurance.

- a) *Endowment Assurance*
- b) *Term Assurance*
- c) *Whole life limited payment*
- d) *Unit Linked Insurance Plan*

28. Life Insurance does not includes

- a) *Individual life Insurance*
- b) *Pension*
- c) *Personal accident & health*
- d) *ULIP policies*
- e) *Key man Insurance.*

29. Following is the area where insurance regulator has no control.

- a) *Licensing a new member*
- b) *suspending the license of insurer*
- c) *Termination of insurance agency*
- d) *Winding up of an insurer member*
- e) *Licensing of a insurance broker*

30. General Insurance business includes

- a) *Marine Insurance*
- b) *Personal accident*
- c) *Motor Insurance*
- d) *Liability Insurance*
- e) *All of the above*

31. General Insurance business does not includes

- a) *Personal accident*
- b) *Fire Insurance*
- c) *Liability Insurance*
- d) *Group Term Insurance*
- e) *Engineering Insurance*

32. In Life insurance when the policy is in force the amount paid on death is

- a) *Surrender value*
- b) *Sum Assured*
- c) *Paid up Value*
- d) *refund of premiums paid*

33. In whole life insurance policy sum Assured is payable.

- a) *On maturity*
- b) *On Death*
- c) *After 15 years*
- d) *On Survival*

34. In Endowment Assurance sum Assured is payable.

- a) *On death*
- b) *On maturity*
- c) *Only A or B*
- d) *Both A & B*

35. Marine policy relate to following areas of risk.

- a) *Hull*
- b) *Cargo*
- c) *Freight*
- d) *All of these*

36. The Standard fire policy covers damage to the property caused by.

- a) Fire
- b) Lightering
- c) explosion by gas or bonders
- d) All of the above

37. General Liability Insurance comprises.

- a) Employer's liability and public liability.
- b) Products liability.
- c) Professional Indemnity insurance.
- d) All of the above.

38. Insurance Company's shareholder's fund comprise.

- a) Paid up share capital of the company.
- b) General and free reserves.
- c) Balance of profit & loss carried forward.
- d) All of the above.

39. In India any Insurance company will be allowed to do.

- a) Composite business.
- b) Only life or only non life business.
- c) Life, Non life and Reinsurance Business,
- d) Both of the above.
- e) None of the above.

40. maximum capital can be owned by foreign Insurance company

- a) 49 %
- b) 75 %
- c) 26 %
- d) 50 %.
- e) 51 %

41. Find the Odd man Out

- a) Endowment Plan
- b) Money Back Plan
- c) Term Insurance
- d) Motor Insurance

42. Find the Odd man Out

- a) Health Insurance
- b) Life Insurance
- c) Motor Insurance
- d) Marine Insurance
- e) Reinsurance

43. Find the Odd man Out

- a) IRDA
- b) SEBI
- c) P.F.R.D.A.
- d) R.B.I
- e) TRAI

44. Find the Odd man Out

- a) LIC
- b) New India Assurance Company
- c) United India Insurance Company
- d) Oriental Insurance Company Ltd.
- e) National Insurance company Ltd.

45. Find the Odd man Out

- a) Accident
- b) Theft
- c) Earthquake
- d) Fire
- e) Result of Cricket Match

46. Find the Odd man Out

- a) Mutual funds
- b) Equity Shares
- c) Debentures
- d) Insurance
- e) Bonds

47. Find the Odd man Out

- a) Term Insurance
- b) Money Back Insurance
- c) Endowment Insurance
- d) Key man Insurance
- e) Pension Policy

48. Find the Odd man Out

- a) Hazard
- b) Risk
- c) Peril
- d) Compensation

49. Find the Odd man Out

- a) Risk Avoidance
- b) Risk Acceptance
- c) Risk Reduction
- d) Risk Retentions
- e) Risk Transfer

50. Find the Odd man Out

- a) Agent
- b) Broker
- c) Corporate Agent
- d) Bank
- e) TPA

51. Find the Odd man Out

- a) Let the Buyer be Beware
- b) Utmost Good faith
- c) Insurable Interest
- d) Disclosure of Material Facts
- e) Indemnity

52. Find the Odd man Out

- a) *Rider*
- b) *Money back Policy*
- c) *Endowment Policy*
- d) *Term Insurance*
- e) *Whole Life Policy*

53. Find the Odd man out

- a) *Double Accident Benefit*
- b) *Survival Benefit*
- c) *Premium waver Benefit*
- d) *Disability Benefit*
- e) *Critical Illness Benefit*

54. Find the Odd man out

- a) *Nomination*
- b) *Assignment*
- c) *Surrender*
- d) *Paid up*
- e) *Loan*

55. Find the Odd man out

- a) *Bajaj Allianz*
- b) *TATA AIG*
- c) *SBI*
- d) *ICICI*
- e) *Apollo Munich*

56. Choose the right Abbreviations for ECGC :

- a) *External Credit Guarantee Corporation*
- b) *Extinguished Credit Guarantee Corporation*
- c) *Extended Credit Guarantee Corporation*
- d) *Extreme Credit Guarantee Corporation*
- e) *Export Credit Guarantee Corporation*

57. Choose the right Abbreviations for COPA :

- a) *Customer Protection Act*
- b) *Controlled Protection Act*
- c) *Consumer Protection Act*
- d) *Consumer Preservation Act*
- e) *Consumer Performance Act*

58. Choose the right Abbreviations for FERA :

- a) *Forest Exchange Regulation Act*
- b) *Foreign Exchange Regulations Act*
- c) *Former Exchange Regulation Act*
- d) *Forward Export Regulation Act*
- e) *Foreign Export Regulation Act*

59. Choose the right Abbreviations for PIA :

- a) *Protected Insurance Association*
- b) *Protection and Indemnity Associations*
- c) *Perfect Insurance Association*
- d) *Popular Insurance Association*
- e) *Protection Individual Association*

60. Choose the right Abbreviations for IBNR :

- a) *Incurred But Not Reported*
- b) *Indian bureau national Representation*
- c) *Indian Business Nodal Register*
- d) *Insured Business Not Recovered*
- e) *Institutional Business Not Registered*

61. Choose the right Abbreviations for ATL :

- a) *Accrued Total Loss*
- b) *Assumed Total Loss,*
- c) *Assured Total Loss*
- d) *Adjusted Total Loss*
- e) *Actual Total Loss*

62. Choose the right Abbreviations for CTL :

- a) *Constructive Total Loss*
- b) *Combined Total Loss*
- c) *Consumer Total Loss*
- d) *Customized Total Loss*
- e) *Commercial Total Loss*

63. Choose the right Abbreviations for TPA :

- a) *Transport Packaging Administrator*
- b) *Tourist Party Administrator*
- c) *Team Party Administrator*
- d) *Third Party Adjustments*
- e) *Third Party Administrators*

64. Choose the right Abbreviations for TAC:

- a) *Third Advisory Committee*
- b) *Team Advisory Committee*
- c) *Tariff Advisory committee*
- d) *Tariff Adjustment Committee*
- e) *Tariff advancement committee*

65. Choose the right Abbreviations for IIRA:

- a) *Institute of Insurance and Risk Management*
- b) *Insurance India Risk Management*
- c) *Indian Institute of Risk Management*
- d) *Indemnity Insurance & Risk Management*
- e) *Insurable Interest and Risk Management*

66. Choose the right Abbreviations for ICA 1872

- a) *Indian Companies Act 1872*
- b) *Indian Corporation Act 1872*
- c) *Indian Contract Act 1872*
- d) *Insurance Contract Act 1872*
- e) *Insurance Companies Act 1872*

67. Choose the right Abbreviations for ISA 1889

- a) *Indian Stamps Act 1889*
- b) *Indian Seaman Act 1889*
- c) *Indian Society Act 1889*
- d) *Insurance Stamp Act 1889*
- e) *International Society Act 1889*

68. Choose the right Abbreviations for ITA 1882

- a) *Insurance Trust Act 1882*
- b) *Indemnity Trust Act 1382*
- c) *Insurance Transactions Act 1882*
- d) *Indian Trust Act 1882*
- e) *Indian Transactions Act 1882*

69. Choose the right Abbreviations for IPA 1932

- a) *Indian Population Act 1932*
- b) *Indian Partnership Act 1932*
- c) *Insurance Partnership Act 1932*
- d) *Indian Policyholder Act 1932*
- e) *Insurance Property Act 1932*

70. Choose the right Abbreviations for IRA 1908

- a) *Indian Registration Act, 1908*
- b) *Indian Regulation Act 1908*
- c) *Indian Reference Act 1908*
- d) *International Remuneration Act 1908*
- e) *Indian Restrictions Act 1908*

71. Solvency margin is the amount by which the _____ of the _____

- a) *Insurer exceed its*
- b) *Profit, losses*
- c) *Premium, claims*
- d) *Gains Losses*
- e) *Assets. Liability*
- f) *Capital, Paid-up capital*

72. Main categories of application of insurable interest are

- a) *Fire, Marine, Engineering*
- b) *Company, employer, employee*
- c) *Life, property, liability*
- d) *Health, group, property,*
- e) *Liability, aviation, motor*

73. The _____ policy in effect is a policy _____ without a limitation of the period.

- a) *Whole life. Term Insurance*
- b) *Whole life, Endowment*
- c) *Ulip, Whole life*
- d) *Term insurance, Money back*
- f) *Endowment, Annuity*

74. _____ Focuses its attention on the pure risk

- a) *Endowment Insurance*
- b) *Money Back Insurance*
- c) *Pension Insurance*
- d) *Term Insurance*
- e) *Children Insurance*

75. Burden of the state to provide relief to destitute and aged citizens, in reduced through the _____

- a) *National Insurance*
- b) *Social Insurance*
- c) *Institutional Insurance*
- d) *Legal Insurance*
- e) *Group Insurance*

76. The _____ of an insurance co. correspondence to its ability to pay claims.

- a) *Profitability*
- b) *Assets*
- c) *Solvency*
- d) *Liability*
- e) *Capital*

77. The surplus of insurance business will be divisible between _____

- a) *Policy holders & Share holders*
- b) *Government & Policy Holder*
- c) *Share Holders & Government*
- d) *Fund Manager & Share Holder*
- e) *IRDA & Insurer*

78. An _____ is set up as an independent body to receive and deal with complaints from insuring public

- a) *Lokadalat*
- b) *District Forum*
- c) *Insurance Ombudsman*
- d) *Redressal Officer*
- e) *Grievances Officer*

79. _____ and _____ are the main intermediaries in insurance industry

- a) *Agent & Bank*
- b) *Agent & Brokers*
- c) *Agents & Self Help Groups*
- d) *Consultants & Brokers*
- e) *Executive & Officers*

80. The Insurance Institute of India provides courses and conducts examinations leading to _____ diplomas.

- a) *Undergraduate & PG*
- b) *General And Special*
- c) *Distance Learning & Online*
- d) *Associate & Fellowship Diploma*

81. Insurance is a contract. One party, namely _____ contracts with another, namely _____ to fulfil the promise.
- Individual, Company
 - Policyholder & Insurance Company
 - Insurer, Insured
 - Underwriter, Agent
82. Risk management deals with _____ and _____ risk
- Speculative, Economic
 - Social, Individual
 - Urban, Rural
 - Insurable/ Uninsurable
83. A broker is an or whose full time occupation is the placement of Insurance business with insurance companies
- Individual , Firm
 - Credit Society, Bank
 - Individual, Group
 - Pvt. Ltd Company, Limited Company
84. Marine policies relate to three areas of risk viz the _____, _____ and _____
- Hull, Cargo & Freight
 - Hull, Cargo, Liability
 - Hull Cargo, Loss of Profit
 - Hull, cargo, Damages
 - Hull, Cargo, Fire
85. Premiums is the monetary consideration payable by the _____ to _____ the _____ for _____ the insurance granted under the policy.
- Insured, Insurer
 - Insured, Underwriter
 - Policyholder, Company
 - Insured, IRDA
86. Subrogation may apply to contract of _____
- Insurance
 - Indemnity
 - Replacement
 - Reinstatement
87. Contract is an Agreement _____ by law.
- Forced
 - Permitted
 - Enforceable
 - Granted
88. Nominee is the person who receives the benefits in case of _____ of the Life Assured.
- Survival
 - Bankruptcy
 - Death
 - Disability
89. The Agent is the best judge of any _____ hazard
- Internal
 - Physical
 - Legal
 - Social
 - Moral
90. The object of insurance should be lawful and it should not be
- Contract.
 - Void
 - Invalid
 - Illegal
 - Fraudulent
91. An insurer, as a trustee, has to ensure that
- The life fund is safe
 - The life fund earns the maximum interest
 - Both of the above
 - Neither of the above
92. The business of insurance has
- Social implications
 - Impact on economic development of the country
 - Impact on the economic well being of families
 - All the above Implications
93. An Insurer, as a trustee, has to give priority to
- Policyholders, as a class
 - An Individual policy-holder
 - The claimant's financial condition
 - All of the above
94. Which of the following risks are insurable?
- Speculative
 - Economic
 - Sure to happen
 - All of the above
 - None of the above

95. The Principle of Utmost Good Faith is important to ensure

- a) *That the premium charged is correct*
- b) *That no one gets an undue advantage*
- c) *That there is no adverse selection*
- d) *All the three factors mentioned above*

96. Which of the followings are not example of Pure Risk

- a) *Fire, Explosion*
- b) *Riot, Fraud*
- c) *Machinery Breakdown*
- d) *Horse Racing*
- e) *Death Disability*

97. Which example is similar to Particular risk

- a) *Theft of Car*
- b) *Flood*
- c) *Earthquake*
- d) *Aeroplane Accident*

98. Which of the following is closely related to Life insurance

- a) *Fire*
- b) *Marine*
- c) *Miscellaneous*
- d) *Pension*

99. Standard, preferred and non standard are types of-

- a) *Risk*
- b) *Perils*
- c) *Hazard*
- d) *loss*

100. Find, out the dissimilar word

- a) *Utmost good faith*
- b) *Insurable interest*
- c) *Indemnity*
- d) *Subrogation*
- e) *Proposal form*

MOCK TEST 2

1. **Methods of valuation of assets & liabilities are prescribed in.**
 - a) *SEBI regulations.*
 - b) *Insurance regulations.*
 - c) *LIC Act.*
 - d) *Company Law.*
2. **The valuation surplus, as per current law in India provides.**
 - a) *5 % to shareholders & 95 % to policyholders.*
 - b) *95 % to shareholders & 5 % to policyholders,*
 - c) *50 % to shareholders & 50 % to policyholders.*
 - d) *25 % to shareholders & 75 % to policyholders.*
3. **In general insurance monthly payment may be arranged in care of,**
 - a) *Motor Insurance.*
 - b) *Fire Insurance.*
 - c) *Group health insurance.*
 - d) *Marine Insurance,*
4. **The task for the underwriter are**
 - a) *To assess the risk which is proposed.*
 - b) *To decide whether to accept the risk and how much to accept.*
 - c) *To determine the terms, conditions and scope of cover to be offered and calculate suitable premium*
 - d) *All of the above.*
 - e) *None of the above.*
5. **While calculating premium following commercial considerations must be**
 - a) *Considered*
 - b) *Inflation rate.*
 - c) *Interest rates.*
 - d) *Exchange rates.*
 - e) *All of the above.*
6. **Insurance companies take reinsurance for**
 - a) *Stabilize the company.*
 - b) *Confidence to the insured.*
 - c) *Spreading of risk.*
 - d) *All of the above.*
7. **The definition of contract is given in**
 - a) *Insurance Act 1938*
 - b) *The Indian Contract Act 1872*
 - c) *LIC Act 1956*
 - d) *Income Tax Act 1861*
 - e) *IRDA Act 1999*
8. **A Simple contract have following elements.**
 - a) *Intention to create legal relations*
 - b) *Offer and acceptance*
 - c) *Consideration*
 - d) *All of the above*
9. **A Simple contract have following elements**
 - a) *Legality of purpose*
 - b) *Possibility of performance*
 - c) *Capacity to Contract*
 - d) *All of the above*
10. **Most commercial contracts are subject to doctrine of**
 - a) *Caveat Emptor*
 - b) *Utmost good faith*
 - c) *Principle of contribution*
 - d) *Principle of indemnity*
11. **Life Insurance contracts are subject to**
 - a) *Principle of indemnity*
 - b) *Principle of contribution*
 - c) *Utmost good faith*
 - d) *Caveat Emptor*
 - e) *Principle of indemnity*
12. **Definition of utmost good faith contains**
 - a) *Duty voluntarily to disclose*
 - b) *Accurately & truly*
 - c) *Facts material to risk, being proposed whether requested or not*
 - d) *All of the above*
13. **In fire insurance following fact must be disclosed**
 - a) *The construction of the building.*
 - b) *The nature of use of building.*
 - c) *Fire detection and fire fighting facts must be disclosed*
 - d) *All of the above*

14. In theft insurance following facts must be disclosed

- a) *The nature of stock ^*
- b) *The value of the stock*
- c) *The nature of security precautions*
- d) *All of the above*

15. The facts which need not be disclosed

- a) *Facts of law*
- b) *Facts of common knowledge*
- c) *Facts which lessen the risk*
- d) *All of the above*

16. There is no duty of disclosure at the time of renewal in _____

- a) *General Insurance*
- b) *Life Insurance*
- c) *Life & General Insurance*
- d) *None of the above*

17. Non disclosure arises where fact.

- a) *Is within the knowledge of the first party.*
- b) *Is not known to the second party.*
- c) *Is to induce to the second party to either not to enter the contract at all or else only to enter it on terms which he considers are better.*
- d) *All of the above.*

18. The occurrence of the event insured against _____

- a) *Must not be against public policy.*
- b) *The premium has to be reasonable.*
- c) *There must be insurable interest.*
- d) *All of the above.*

19. State which is correct

Statement A - In insurance contract insurable interest in the subject matter is essential.

Statement B - In wagering contract full disclosure is not required by either party.

- a) *A is correct*
- b) *B is correct*
- c) *Both the statements are correct.*
- d) *Both the statements are wrong.*

20. Nominee has a right _____

- a) *To receive Death claim amount*
- b) *To transfer the rights under the policy*
- c) *To Change the nomination*
- d) *To surrender the policy.*

21. Principle of indemnity is not applicable to _____

- a) *Property insurance*
- b) *Liability insurance*
- c) *Other non life insurance*
- d) *Life Insurance*
- e) *Engineering Insurance*

22. Replacement method of indemnity is used in _____

- a) *Glass Insurance*
- b) *Fire Insurance*
- c) *Motor Insurance*
- d) *Engineering policy*
- e) *Life Insurance*

23. The term pecuniary insurance related to

- a) *Dishonesty of the individual*
- b) *Physical damage*
- c) *Operation of perils*
- d) *All of the above*

24. Abandonment applies in

- a) *Motor Insurance*
- b) *Marine Insurance*
- c) *Fire Insurance*
- d) *Burglary Insurance*
- e) *None of these*

25. Principle of subrogation does not apply to

- a) *Marine Insurance*
- b) *Fire Insurance*
- c) *Life Insurance*
- d) *Miscellaneous Insurance*

26. Principle of subrogation does not apply to

- a) *Marine Insurance*
- b) *Fire Insurance*
- c) *Personal accident*
- d) *Miscellaneous Insurance*
- e) *Engineering Insurance*

27. The perils relevant to insurance claim can be classified

- a) *Insured perils means named in the policy*
- b) *Excluded perils stated in the policy as excluded.*
- c) *Uninsured or other perils which are not mentioned in the policy*
- d) *All of the above*

28. The proximate cause has qualification

- a) *It should be direct*
- b) *It should be most dominant*
- c) *Both the Above*
- d) *None of these*

29. In case of concurrent causes, which is true?

- a) *No excluded peril is involved there is liability under the policy*
- b) *If excepted peril is involved the claim will be outside the policy*
- c) *If results of the operation of insured peril can be separated from the effects of the excluded peril, there is liability under the policy.*
- d) *All of these.*

30. Insurance is meant to _____

- a) *Prevent specified events*
- b) *Prevent damage to assets from specified events*
- c) *Compensate for losses from specified events*
- d) *Rebuild the assets lost because of specified events*

31. Insurance compensates losses _____

- a) *By replacing the original asset*
- b) *To the full extent of lost income,*
- c) *Only to the extent of insured amount*
- d) *All the three ways*

32. Insurance benefits replace _____

- a) *All physical losses, In full*
- b) *All physical losses, partly*
- c) *All monetary losses, in full*
- d) *The monetary losses, but only to some extent*
- e) *None of these*

33. The amount of insurance depends on _____

- a) *The peril*
- b) *The risk*
- c) *Neither the peril nor the risk*
- d) *Both the peril and the risk*

34. Insurance works on the principle of _____

- a) *Sharing*
- b) *Probabilities*
- c) *Large numbers*
- d) *All of the above*

35. Insurance works on the principle of _____

- a) *Trust*
- b) *Sharing*
- c) *Randomness*
- d) *All of the above*

36. Insurance works on the principle of _____

- a) *Equal contributions*
- b) *Proportional contributions*
- c) *Contributions depends on affordability*
- d) *None of the above*

37. The insurer, being a trustee, has to ensure that _____

- a) *The claim paid is genuine*
- b) *The premium charged is fair and reasonable*
- c) *A suspicious claim is not paid*
- d) *All of the above*

38. An insurer, as a trustee, is responsible to the _____

- a) *The policyholders*
- b) *The IRDA*
- c) *The Government*
- d) *All of the above*

39. Which one of these principle does not apply in the case of a life insurance contract?

- a) *The principle of indemnity*
- b) *The principle of good faith*
- c) *The principle of insurable Interest*
- d) *The principle of large numbers*

40. The principle of utmost good faith will operate in an existing policy

- a) *Every time the premium is paid*
- b) *If the policy has lapsed and it has to be revived*
- c) *If the insured person falls sick and is admitted to hospital*
- d) *If the insured person changes his job*

41. Insurable interest is

- a) *Defined In the Insurance Act*
- b) *Defined in the Contract Act*
- c) *Defined by the IRDA*
- d) *Not defined in any written law*

42. Find the Odd man Out

- a) *IRDA Grievances Cell*
- b) *Ombudsman*
- c) *Consumer Court*
- d) *Civil Court*
- e) *Insurer's Redressal Officers*

43. Find the Odd man out

- a) *Insurance Act 1938*
- b) *LIC Act 1956*
- c) *Consumer Protection Act 1986*
- d) *IRDA Act 1999*
- e) *General Insurance Business Act 1972*

44. Find the Odd man out

- a) *Facultative Treaty*
- b) *Excess of Loss*
- c) *Surplus Treaty*
- d) *Quota Share*
- e) *Ceding*

45. Find the Odd man out

- a) *Policyholders*
- b) *Agent*
- c) *Underwriter*
- d) *Actuary*
- e) *Surveyor*

46. Find the Odd man out

- a) *Life annuity - ceases on death of annuitant*
- b) *Joint life - During life time of annuitant or his spouse whichever is longer*
- c) *Annuity certain - for a fixed number of years and thereafter as long as annuitant is alive*
- d) *Family Annuity for family members max 4 members for certain period*

47. Find the Odd man out

- a) *Burglary*
- b) *Shopkeepers*
- c) *Householders*
- d) *Cattle*
- e) *Marine Insurance*

48. Find the Odd man out

- a) *Conditions Precedent*
- b) *Conditions Subsequent*
- c) *Conditions precedent to liability*
- d) *Condition Assignment*

49. Find the Odd man out

- a) *Max Bupa Health Insurance*
- b) *Apollo Munich Health Insurance*
- c) *Star Health and Allied Insurance*
- d) *Birla Sun Life Insurance*

50. Find the Odd man out

- a) *United India*
- b) *New India*
- c) *Oriental Insurance*
- d) *National Insurance*
- e) *ICICI Lombard*

51. Choose the right Abbreviations for NIA 1881

- a) *National Instrument Act 1881*
- b) *National Insurance Act 1SS1*
- c) *Natural Industrial Act 1881*
- d) *Negotiable Instruments Act 1331*

52. Choose the right Abbreviations for SGA 1930

- a) *Sold Goods Acts 1930*
- b) *Sale Of Goods Act 1930*
- c) *Serial Goods Acts 1930*
- d) *Special Goods Act 1930*

53. Choose the right Abbreviations for MVA 1988

- a) *Motor Vehicles Act, 1988*
- b) *Motor Valuation Act 1988*
- c) *Miscellaneous Variations Act 19S8*
- d) *Marine Vessels Act 1988*

54. Choose the right Abbreviations for MACT

- a) *Motor Accidents Claims Tribunal*
- b) *Motor Action Claims Tribunal*
- c) *Master Accidents Claims Tribunal*
- d) *Marine Accidents Claims Tribunal*

55. Choose the right Abbreviations for MIA 1963

- a) *Marine Industry Act 1963*
- b) *Marine Indemnity Act 1963*
- c) *Marine Integration Act 1963*
- d) *Motor Insurance Act 1963*
- e) *Marine Insurance Act 1963*

56. Choose the right Abbreviations for IRA 1939:

- a) *Indian Registration Act 1989*
- b) *Indian Records Act 1989*
- c) *Indian Association 1989*
- d) *Indian Reconstruction Act 1989*
- e) *Indian Railways Act, 1989*

57. Choose the right Abbreviations for ACA 1996

- a) *Adjudicator & Counsellors Act 1996*
- b) *Arbitrations and Conciliation Act 1996*
- c) *Arbitration or Consumers Act 1996*
- d) *Adjustment & Correction Act 1996*
- e) *Arbitration & Commerce Act 1996*

58. Choose the right Abbreviations for GDP :

- a) *Gross Division Product*
- b) *Global Domestic Product*
- c) *Gross Domestic Product*
- d) *Grand Domestic Product*

59. Choose the right Abbreviations for GNP:

- a) *General National Product*
- b) *Gross National Product*
- c) *Gross Natural Product*
- d) *General National Policy*

60. Choose the right Abbreviations for MPL

- a) *Maximum Possible Loss*
- b) *Minimum Probable loss*
- c) *Maximum Projected loss*
- d) *Minimum projected loss*

61. Choose the right Abbreviations for PML

- a) *Probable Maximum Loss*
- b) *Probable Minimum loss*
- c) *Persistent Maximum loss*
- d) *Persistent Minimum loss*

62. Contract of insurance is called a contract of

- a) *Reinstatement*
- b) *Replacement*
- c) *Indemnity*
- d) *Compensation*

63. Policy is only _____ of contract.

- a) *Proof*
- b) *Guarantee*
- c) *Evidence*
- d) *Receipt*
- e) *Acceptance*

64. Marine insurance is classified as _____ Insurance and _____ insurance.

- a) *Cargo, Hull*
- b) *Cargo, Freight*
- c) *Hull, Freight*
- d) *Trade, Industry*

65. Assignment is the transfer of _____ and _____.

- a) *Ownership, Rights*
- b) *Title, nomination*
- c) *Ownership, nomination*
- d) *Company, Shares*

66. Two types of Assignment are _____ and _____

- a) *Legal & Illegal*
- b) *Verbal & Written*
- c) *Registered, & Unregistered*
- d) *Absolute & Conditional*
- e) *Immediate & Deferred*

67. Life insurance business was nationalised with effect from

- a) *30-09-1956*
- b) *01-01-1956*
- c) *01-04-1938*
- d) *01-09-1956*
- e) *01-04-1957*

68. Life Insurance Business is a _____ term policy and General Insurance Business is a _____ term policy,

- a) *Fixed, Flexible*
- b) *Long, Short*
- c) *Definite, Infinite*
- d) *Big, Small*

69. Factors , which influence assessment of the risk, can be Classified as _____ hazards, _____ hazards & _____ Hazards.

- a) *Physical, Occupational, Moral*
- b) *National, Natural, Moral*
- c) *Political, Personal; Natural*
- d) *Accidental, Occupational, Moral*

70. General Insurance corporation of India with its four subsidiaries came in to being from

- a) *1-04-1972*
- b) *1-12-1972*
- c) *1-01-1973*
- d) *1-04-1973*

71. The amount of Re - insurance given by ceding office to the Reinsurer is called

- a) *Cession*
- b) *Advances*
- c) *Balance*
- d) *Adjustment*
- e) *Average*

72. Majority of general insurance policies will be for a period of months.

- a) *12*
- b) *24*
- c) *6*
- d) *60*

73. Hazards are normally classified in to three categories, namely _____, _____ and _____.

- a) Moral, Morale, Natural
- b) Physical, Social, Moral
- c) Physical, Moral, Morale
- d) Physical, Social, Natural

74. The basic information necessary for selection of risk can be obtained from _____, _____ and _____

- a) Proposal, Personal Statement & Agents Confidential Report
- b) Proposal, Medical Report, Special Report
- c) Salary Certificate, C.A, Certificate, Medical Certificate
- d) Family History, Occupation, Residence

75. _____ & _____ are two methods of reinsurance.

- a) Surplus, Facultative
- b) Pooling, Excess
- c) Loss, Surplus
- d) Treaty, Facultative
- e) First Treaty, Second Treaty

76. An evidence of insurance contract: _____

- a) Receipt
- b) Proposal
- c) Policy
- d) Cover note

77. Consideration for the insured : _____

- a) Promise
- b) NAV
- c) Sum Assured
- d) Claim
- e) Premium

78. Insurance on the Lives of Husband and wife:

- a) Floater Policy
- b) Twin Life
- c) Double Life
- d) Joint Life

79. Amount payable on completion of term under Life insurance : _____

- a) Survival Claim
- b) Rider Claim
- c) Maturity claim
- d) Benefit Claim

80. Document issued under Group Life Insurance : _____

- a) Group Policy,
- b) Joint Policy
- c) Collective Policy
- d) Shared Policy
- e) Master policy

81. Proposal entertained without medical report under Life Insurance : _____

- a) Non-Medical
- b) Without Medical
- c) Special Proposal
- d) Unconditional Proposal

82. Primary underwriter in Life insurance :

- a) Branch Manager
- b) Underwriter
- c) Agent
- d) Development Officer
- e) Actuary

83. The excess of value of assets is known as :

- a) Profits
- b) Earning
- c) Dividend
- d) Income
- e) Surplus

84. Document of insurance contract : _____

- a) Personal Statement
- b) Policy
- c) Medical Report
- d) Agents Confidential Report
- e) Proposal Form

85. Remuneration to Agent/Broker : _____

- a) Charges
- b) Fees
- c) Bonus
- d) Commission
- e) Royalty

86. Cancellation of insurance contract : _____

- a) Lapse
- b) Paid up
- c) Discontinue
- d) Cancellation
- e) Surrender

87. Non-acceptance of Proposal : _____

- a) *Refused*
- b) *Restrict*
- c) *Cancellation*
- d) *Rejection*
- e) *Decline*

88. Annuity which starts after certain period of time : _____

- a) *Deferred-Annuity*
- b) *Extended Annuity*
- c) *Old Age Annuity*
- d) *Immediate Annuity*
- e) *Lock In Annuity*

89. Sharing of risk with other insurance company : _____

- a) *Contributory Insurance*
- b) *Shared Insurance*
- c) *Reinsurance*
- d) *Pre Insurance*
- e) *Pro Insurance*

90. Cancellation of policy by Insurer when loan is taken on policy : _____

- a) *Forfeiture*
- b) *Cancellation*
- c) *Surrender*
- d) *Paid up*
- e) *Rejection*

91. A person appointed in case of minor nominee : _____

- a) *Appointee*
- b) *Guardian*
- c) *Nominee*
- d) *Trustee*

92. Death claim with in 3 years of commencement of risk : _____

- a) *Immediate Claim*
- b) *Early claim*
- c) *Deferred Claim*
- d) *Substandard Claim*
- e) *Abnormal Claim*

93. Sharing of Risk with other companies : _____

- a) *Sharing*
- b) *Distribution*
- c) *Subrogation*
- d) *Contribution*
- e) *Salvage*

94. Which is not a feature of a traditional plan ?

- a) *Sum Assured is decided at commencement*
- b) *SA payable on death or maturity*
- c) *Bonus may be added as per terms of policy*
- d) *The policy is linked to return from stock market*
- e) *The premium would be in proportion to Sum Assured*

95. Which of the statement is incorrect ?

- a) *Members have the choice of joining the group*
- b) *Members have no choice and they must*
- c) *Compulsorily join the group*
- d) *Entry or exit in the policy of any members can be made only on next policy anniversary or first following month or some other identifiable date*
- e) *Underwriting is based on assessment of group as a whole*
- f) *Medical examination is not required generally*

96. Life Annuity, Annuity Certain & Annuity with return of corpus are related to

- a) *Deferred Annuity*
- b) *Immediate Annuity*
- c) *Current Annuity*
- d) *Future Annuity*

97. Choose the wrong one

- a) *The Indian Contract Act 1873*
- b) *The Indian Stamps Act 1889*
- c) *The Indian Trusts Act 1882,*
- d) *The Indian Partnership Act 1932*

98. Choose the wrong one

- a) *The sale of Goods Act 1938*
- b) *The Motor Vehicles Act, 1988*
- c) *The Indian Stream Vessels Act , 1977*
- d) *Marine Insurance Act 1963.*

99. The actual loss includes cost of repair, replacement or reinstatement and

- a) *Future losses*
- b) *Precedent losses*
- c) *Past losses*
- d) *Consequential losses*

100. The ways to manage a risk are

- a) *Avoidance or prevention*
- b) *Reduction*
- c) *Retention*
- d) *Transfer*
- e) *All above*

MOCK TEST 3

1. During the year of nationalization how many companies and provident fund societies were transacting Life Insurance Business in India
 - a) 170 companies and 75 Provident Fund Societies
 - b) 75 companies and 170 Provident Fund Societies
 - c) 170 companies and 70 Provident Fund Societies
 - d) 775 companies and 500 Provident Fund Societies
 - e) 250 companies and 100 Provident Fund Societies
2. The premium for insurance is based on expectations of the losses based on the principle of _____
 - a) Law of large numbers
 - b) Survival of the fittest
 - c) Law of small numbers
 - d) Law of many people
 - e) Law of Insurance
3. Risks are the likely consequential losses or damages
 - a) Correct
 - b) Incorrect
4. Non Life Insurance is also known as _____ in many countries
 - a) General Insurance
 - b) Property
 - c) Casualty
 - d) Misc
 - e) Property and Casualty
5. Which of the following regulations has not been issued by IRDA
 - a) Policyholders protection
 - b) Reinsurance
 - c) Claims
 - d) Agents Regulation
 - e) Brokers Regulation
6. The minimum paid-up capital for a Reinsurance broker is _____
 - a) 250 lacs
 - b) 350 lacs
 - c) 100 lacs
 - d) 200 lacs
 - e) 300 lacs
7. In _____, the Indian Mercantile Insurance Ltd, was the first company set up to transact all classes of general insurance business
 - a) 1905
 - b) 1906
 - c) 1907
 - d) 1908
 - e) 1909
8. Together with banking services, insurance services add about –
 - a) 7% to country's GDP
 - b) 7% to country's GNP
 - c) 10% to country's GDP
 - d) 10% to country's total income
9. The insurance company acts as a _____ to bring together members of a community all of whom are likely to experience the same adversity and make them share the adversity which may be experienced by any one of them
 - a) Intermediary
 - b) Agent
 - c) Broker
 - d) Middleman
10. Following the recommendations of the Malhotra Committee report, in 1999, the _____ was constituted as an autonomous body to regulate and develop the insurance industry
 - a) Insurance Regulatory and Development Authority (IRDA)
 - b) Insurance Institute of India
 - c) Four subsidiaries of GIC
 - d) LIC
11. Insurers appoint TPAs to interact on their behalf with the _____
 - a) Hospitals
 - b) Doctors
 - c) Insured's
 - d) Family of the Insured

12. In 1680 Mr Edward Lloyd opened a _____ house that became of source of latest shipping news
- Tea
 - Coffee
 - Milk
 - Biscuit
 - All above
13. _____ involves determination of loss frequency, i) e) whether losses occur regularly and the severity of loss
- Risk perception
 - Risk control
 - Risk evaluation
 - Risk identification
14. Early methods of transferring or distributing risk were practiced by _____ traders as long ago as the 3rd and 2nd millennia BC, respectively
- Chinese and Babylonian
 - Chinese and Japanese
 - Japanese and Babylonian
 - Korean and Chinese
15. Which are not the examples of Particular risk
- Theft of Car
 - Burglary in a office
 - Earthquake
 - Fracture in leg
 - Medical treatment of a person
16. Separate insurance contracts were invented in _____, as were insurance pools backed by pledges of landed estates
- Genoa in the 14th century
 - China in the 15th century
 - Babylon in the 13th century
 - Greece in the 14th century
17. Who appoints an umpire?
- Insurer
 - Insured
 - Ombudsman
 - Arbitrators
18. The excess is however _____ as profit for distribution to shareholders-
- Treated
 - Not treated
 - Already included
 - Already excluded
19. MPL and _____ are two factors that help to identify and analyse the risks-
- PML
 - LML
 - FML
 - LPL
20. The Brokers are required to maintain a deposit equal to _____ of the initial capital in bank
- 15%,
 - 20%,
 - 25%,
 - 35%,
 - 50%
21. When the insurance is placed simultaneously with more than one insurer for same risk, it is known as
- Coinsurance
 - Re-insurance
 - Subrogation
 - Contribution
 - Double Insurance
22. Business reinsured with some reinsurer is known as _____ and business received from others as reinsurance is known as _____
- Inward reinsurance
 - Outward reinsurance
 - Inward insurance
 - Outward insurance
 - Ceded, accepted
23. Who cannot affect a nomination under the policy?
- A person holding a policy on the life of another
 - If assignee under a policy is not the life assured
 - Person holding the policy on life of himself
 - Legal heirs of the policy holder
 - a, b above
24. What does PML stand for
- Probably Maximum Loss
 - Probable Minimum loss
 - Persistent Maximum loss
 - Persistent Minimum loss
25. State which are the losses are financial losses resulting from pure risk
- Loss of stock due to fire
 - Damage to machinery due to breakage
 - Legal liabilities due to defect in products
 - Workmen sustaining injuring in the factory
 - All Above

26. In India, insurance has a deep-rooted history) It finds mention in the writings of _____
- Manusmrithi*
 - Dharmasastra*
 - Arthshastra*
 - All of the above*
27. The process of risk management includes
- Risk identification & Risk evaluation*
 - Selection of appropriate techniques to control risks*
 - Implementation of selected techniques*
 - Periodic review and evaluation of risk management program*
 - All above*
28. In which annuity the payment starts after the lapse of specific period known as deferment period
- Immediate*
 - Future*
 - Current*
 - Deferred*
29. What is the role of Surveyors & Loss Assessors in respect of determining liability under policy
- Must ascertain whether the liability accrues under the policy*
 - Comment on admissibility of loss and compliance with warranties and conditions*
 - Assist insured in disposing the salvage*
 - Give reasons for repudiation of claims*
 - Only a,b,d above*
30. _____ may be defined as future uncertainty as regard financial loss
- Peril*
 - Hazard*
 - Risk Management*
 - Risk*
31. Insurance Regulatory And Development Authority was constituted by an act of parliament in the year
- 1999*
 - 1998*
 - 2001*
 - 2000*
32. Spreading risks across areas which may not be affected equally or at the same time is called _____ technique of loss reduction
- Diversification*
 - Separation*
 - Duplication*
 - All of the above*
33. _____ in India has its roots in the establishment of Triton Insurance Company Ltd), in the year 1850 in Calcutta by the British
- General Insurance*
 - Life Insurance*
 - Marine Insurance*
 - Fire Insurance*
34. The Committee of IRDA consists
- Chairperson, four whole time members and five part time members)*
 - Chairperson, five whole time members and four part time members)*
 - Chairperson, three whole time members and four part time members)*
35. Insurance companies provide cover against fraud or misappropriation by employees. If misappropriation occurs, only the actual loss will be paid as insurance claim. In a claim the policy was for Rs.5 lakh. Fraud was reported for Rs.2 lakh. What would be the claim payable
- Rs.500000*
 - Rs.200000*
 - Rs.300000*
 - Rs.400000*
 - Rs.100000*
36. Consumer protection act was established in the year-
- 1986*
 - 1987*
 - 1985*
 - 1938*
37. 1870 saw the enactment of the _____ and in the last three decades of the nineteenth century, the Bombay Mutual (1871., Oriental (1874. and Empire of India (1897. were started in the Bombay Residency
- Indian Insurance Act*
 - British Insurance Act*
 - England Insurance Act*
 - All of the Above*

38. The scrutiny of the insurance underwritten ensure that business is-
- Financially unstable*
 - Reaching its shut-down point*
 - Sound*
 - Perfect*
39. The insurance sector is a colossal one and is growing at a rate of –
- 15-20%,*
 - 20-25%,*
 - 10-15%,*
 - 5-10%*
40. Things go wrong when the officers of _____ become concerned with the targets of business, rather than the benefits to the prospect-
- Re-insurers*
 - Government*
 - Brokers*
 - Insurers*
41. _____ refers to the amount from the premium, set aside by the insurer to meet the liabilities
- Premium Reserve*
 - General Reserve*
 - Special Reserve*
 - Contingency Reserve*
42. Are business risks, like recession in economy, inflation, fall in demand, are insurable
- Yes*
 - No*
43. Mr Modi bets that Chennai Super King will win the IPL. He puts Rs.1 crore on the bet. Is this insurable
- Yes*
 - No*
44. The Qualifications of Ombudsman must include
- rank of a high court judge*
 - rich experience in the industry, civil service, administrative service*
 - not be more than 65 years of age*
 - all of above*
45. Since 1999, the chairperson of IRDA has replaced the _____ for the administration of Insurance act, 1938
- Regulator Of Insurance*
 - Insurance Information Bureau*
 - Controller of Insurance*
 - Committee on Insurance*
46. Risk Management begins with identifying the risks and _____
- Analysing the risks*
 - Reducing the risks*
 - Repairing the risks*
 - All of the above*
47. When a customer visualizes the possibility of being visited by _____ only then he seeks insurance
- some events*
 - some happenings*
 - some tragedy*
 - some things*
48. The insurer, being a legally constituted company or corporation, is competent to contract for insurance only if has got the _____ to transact business-
- License,*
 - Consent,*
 - Permission*
49. When the re-insurer has the option to decide on acceptance then it is called-
- Treaties*
 - Retrocession*
 - Ceding*
 - Facultative reinsurance*
50. _____ policies provide indemnity in respect of damages payable under law for injuries to third parties or their property
- Liability*
 - Third party*
 - Third party property*
 - None of the above*
51. _____ monarchs were the first to insure their people and made it official by registering the insuring process in government notary offices
- Chinese*
 - Achaemanian*
 - Japanese*
 - Babylonese*

52. The IRDA has provided that a policyholder has the right to withdraw from the contract, if he finds the terms and conditions of the policy issued to him unacceptable
- True*
 - False*
53. When the policy holder pays a lump sum, out of which a certain amount is set aside as premium for a sum assured payable on death and the balance would be invested in a fund of policyholder's choice. This policy is called _____
- Linked policy*
 - Term Assurance*
 - Whole Life Policy*
 - Permanent life*
54. Strategies for reduction of risks have to be thought of _____ to be put into operation after the peril has struck
- After*
 - Beforehand*
 - Early*
 - Earlier*
55. Arbitration and Conciliation Act 1996, under which disputes relating to claims can be referred _____
- to arbitrators for rendering justice*
 - to lawyers for rendering justice*
 - to govt. for rendering justice*
 - to insurer for rendering justice*
56. The insurance companies never know the amount of claim that will have to be paid by them in case of a catastrophic loss-
- True*
 - False*
57. The risk evaluation exercise must be done at _____ intervals
- Quarterly*
 - Half yearly*
 - Annual*
 - Two years*
58. Good ethical behavior includes
- Interest of client should be above own's interest*
 - Clients information should be kept confidential*
 - Making full disclosure to clients*
 - All above*
59. It is possible to make a precise valuation of a human life
- The Statement is correct*
 - The Statement is not correct*
 - The Statement is partially correct*
 - The Statement is partially incorrect*
60. The main function of insurance is to provide financial protection to firms against the consequences of _____
- Speculative risk*
 - risk*
 - Pure risk*
 - simple risk*
60. What distinguishes an insurance contract from a wagering contract and makes it non-speculative, is that the insured must have
- Utmost good faith in the subject matter of insurance*
 - Proximate cause in the subject matter of insurance*
 - Insurable interest in the subject matter of insurance*
 - Subrogation in the subject matter of insurance*
62. Keeping back-ups, copies, etc so that loss will neither interrupt or be irretrievable is called _____ technique of loss reduction
- Duplication*
 - Diversification*
 - Separation*
 - All of the above*
63. A company in order to avoid damages by flooding shifted the factory to a safer site which technique is used by him
- Risk control*
 - Risk avoidance*
 - Risk identification*
 - Risk perception*
64. Insurers have to follow the direction and guidelines of IRDA on _____
- Administrative*
 - Operational*
 - Legal*
 - Day to day matters*
 - Critical matters*

65. A medical practitioner or a solicitor cannot insure against the effects of being disqualified from practicing his profession on account of his own unprofessional conduct, which is different from liability to pay damages through some unintentional mistakes or oversight
- The Statement is correct*
 - The Statement is incorrect*
66. _____ are possibilities, not certainties
- Risks*
 - Perils*
 - Hazard*
 - Premium*
67. The insurance that covers sickness i)e) expenses relating to hospitalization including domiciliary hospitalization is called _____
- Health insurance*
 - Personal Accident*
 - Third Party Accident*
 - Group Accident*
68. A well developed and evolved insurance sector is a boon for economic development as it provides long term funds or infrastructure development at the same time strengthening the risk taking ability of the country
- True*
 - False*
69. What is true in case of a insurance company
- Promises to pay to the owner*
 - Certain sum of money*
 - In case of loss from accident or similar events*
 - He may procure a substitute*
 - Enjoy the benefits*
 - All above*
70. Risk means the possibility of
- Loss or damage*
 - Event*
 - Transaction*
 - Function*
71. The dictionary defines _____ as hazard, chance of bad consequences, exposure to mischance
- Hazard*
 - Peril*
 - Risk*
 - Risk management*
72. The perception regarding the need of _____ is that one has to forego some need in order to meet some need that may arise in future
- Insurance*
 - Cover*
 - Assurance*
 - All of the above*
73. Only economic consequences can be insured) Which is true
- Loss must be measurable in terms of money*
 - Love, affection, creative abilities cannot be insured since they are not measurable*
 - Insured must suffer actual loss due to the event*
 - Non economic losses cannot be insured*
 - All Above*
74. Pure risk arise out of _____ happenings
- Accident*
 - Peril*
 - Hazard*
 - Accidental*
75. When the four subsidiaries of GIC was set up then how many companies had merged their funds in those 4 companies
- 107*
 - 108*
 - 109*
 - 106*
 - 105*
76. A financial transaction is held to offset the loss in another (this is done when the risks in the two transactions are considered to be reciprocal or moving in opposite directions) This is called-
- Compensation Agreements*
 - Hedging*
 - Indemnity Agreements*
 - Loss Agreements*
77. Which perils are covered by marine cargo insurance
- Fire or explosion*
 - General Average & Salvage charges*
 - Stranding, Grounding, Sinking of vessel*
 - Discharge of cargo at port of distress*
 - Earthquake, volcanic eruption or lighting*
 - Washing Overboard, Sling loss*
 - Entry of sea, lake or river water in to vessel or craft*

78. A measure of the risk is the likely loss that may happen, if _____

- a) *the peril strikes*
- b) *the hazard strikes*
- c) *the risk strikes*
- d) *past experience is known*

79. The parties to a contract must be _____

- a) *Minor*
- b) *Child*
- c) *Bigger*
- d) *Major*

80. When are ethics compromised

- a) *Not to recommend a plan where commission is less*
- b) *Ask the prospect to discontinue the current policy and take a fresh one*
- c) *Client does not disclose correctly about the hazards in property*
- d) *All above*

81. Cognitive Dissonance means

- a) *Disturbance in body*
- b) *Disturbance in mind*
- c) *Disturbance in body parts*
- d) *Disturbance in routine*
- e) *Disturbance in business*

82. The intermediaries of re-insurance are called _____

- a) *Re-insurance Agents*
- b) *Re-insurance Underwriter*
- c) *Re-insurance Brokers*
- d) *Re-insurance Staff*

83. Who is known as Composite Brokers

- a) *Who does both life and general business*
- b) *Who does life, general and reinsurance business*
- c) *Who does life, general, and is also a corporate agent*
- d) *A and B above*

84. Every insurance transactions starts with a proposal in writing which is made by the person who wants to take out an insurance policy except _____ insurance

- a) *Marine*
- b) *Fire*
- c) *Miscellaneous*
- d) *Motor*

85. The add on covers in case of personal accident policy are-

- a) *Medical care*
- b) *Loss of income due to inability of work*
- c) *Loss of income due to loss of limb*
- d) *All of the above*

86. Achaemenian monarch's insurance tradition was performed each year at the beginning of NOROUZ, the heads of different ethnic groups as well as others willing to take part presented gifts, to the monarch) NOROUZ is _____

- a) *Iranian New Year*
- b) *Chinese New Year*
- c) *Japanese New Year*
- d) *Babylonian New Year*

87. The first insurance company in the _____ underwrote fire insurance and was formed in South Carolina, in 1732.

- a) *United States*
- b) *Canada*
- c) *Indiana*
- d) *Italy*

88. Fire insurance policies cover damage to property and contents within, arising out of _____

- a) *Fire and explosion*
- b) *Damage through riots, strike, or other malicious acts, typhoon cyclone, etc*
- c) *Impact by air planes or railway wagons*
- d) *All of the Above*

89. The unexpected losses from fluctuation of exchange rates fall in the jurisdiction of _____

- a) *Export Credit Guarantee Corporation of India*
- b) *Life Insurance Corporation of India*
- c) *General Insurance Corporation of India*
- d) *Insurance Regulatory & Development Authority*

90. The liability policy does not cover _____

- a) *Willful non compliance*
- b) *Fines*
- c) *Other Punitive levies*
- d) *Neglect of insureds willfully*
- e) *All above*

91. The code of ethics spelt out by the _____ in the various Regulations is directed towards ethical behavior
- IRDA
 - Lloyd's
 - III
 - GIC and LIC
92. The _____ are mainly responsible to keep the customers satisfied
- Agents
 - Brokers
 - Intermediaries
 - All of the above
93. In 1752 Benjamin Franklin founded the Philadelphia Contributionship for the Insurance of Houses from Loss by Fire which was 1st of its kind
- True
 - False
94. Consumer protection act 1986 is
- Not applicable to insurance
 - Applicable to insurance
 - Applicable to banking
 - Applicable to only general insurance
95. The insurer's liability under the policy is _____ to the Sum Assured
- Unlimited
 - Limited
 - Partly Limited
 - Somewhat limited
 - Depends on amount of claim
96. We know of two types of economies in human societies and they are-
- Money economies and natural economies
 - Moral economies and natural economies
 - Money economies and moral economies
 - Ethical economies and moral economies
97. Industry and trade depend on _____ for managing their risks in manufacture and in commerce
- General Insurance
 - Life Insurance
 - Co-insurance
 - Re-insurance
98. Insurance history can be traced back to _____ which occurred in 1666 devastating 13200 houses
- Great Fire of Britain
 - Great Fire of London
 - Great Fire of China
 - Great Fire of Newyork
 - Great Fire of Bahrain
99. Consumer protection act was established in the year-
- 1986,
 - 1987,
 - 1985,
 - 1938
100. The Limitation Act 1963 lays down the law on the periods within which claims must be made) The period may extend from _____
- 3 to 12 years
 - 3 to 6 years
 - 3 to 10 years
 - Upto 3 years

MOCK TEST 4

1. Choose the right answer. In case of preferred risk
 - a) Normal premium is charged
 - b) Lesser premium is charged
 - c) Higher premium is charged
 - d) Double premium
 - e) Triple premium
2. Insurance is classified into 2 groups called as-
 - a) Marine and misc
 - b) Motor and fire
 - c) Life and Non-life
 - d) Life and Fire
 - e) Marine hull and marine cargo
3. GIC means
 - a) General Insurance Corporation of India
 - b) Goods Insurance Company Ltd
 - c) General Insurance Company Ltd
 - d) Gujarat Insurers Co-operative Society
4. Insurance helps to
 - a) Prevent adverse situations from occurring
 - b) Reduce the financial consequences of adverse situation
 - c) Negate all consequence of adverse situation
 - d) Make assets continuously productive
5. General Insurance Business in India was nationalized in which year
 - a) 1972
 - b) 1973
 - c) 1974
 - d) 1975
 - e) 1976
6. In non-life insurance there are three classes of insurance namely-
 - a) Fire, Marine & misc
 - b) Marine Cargo, Marine Hull & Misc
 - c) Fire, Motor & marine
 - d) Motor, Fire & Misc
7. A human life is a _____ asset
 - a) Income generating
 - b) Expense Generating
 - c) Useful
 - d) Dead
8. Non Life Insurance is generally issued for _____ Year
 - a) 1 Year
 - b) 2 Year
 - c) 5 Year
 - d) 10 Year
 - e) No Limitation
9. Insurance is given only if the peril is _____
 - a) Likely but not certain
 - b) Absolute and certain
 - c) Likely but certain
 - d) Absolute but not certain
10. Perils differ according to-
 - a) Frequency and capacity
 - b) Frequency and intensity
 - c) Wavelength and Velocity
 - d) Frequency and Velocity
11. Fire, Flood, Breakdown etc. are examples of
 - a) Perils
 - b) Moral Hazard
 - c) Morale Hazard
 - d) Physical Hazard
12. Find the dissimilar word among the following
 - a) Static risks
 - b) Catastrophic risks
 - c) Financial risks
 - d) Dynamic risks
 - e) Insurance Policy
13. The First INDIAN insurance company was-
 - a) Bombay Mutual Insurance Society Ltd
 - b) Calcutta Mutual Assurance society Ltd
 - c) Delhi Mutual Assurance society Ltd
 - d) Bombay Mutual Assurance society Ltd
 - e) Madras Mutual Assurance society Ltd
14. From the following which statement is correct
 - a) Insurance compensates the loss fully to the insured
 - b) Insurance compensates the financial losses only
 - c) a is correct
 - d) b is correct

15. Life Insurance Business was nationalized in the year
a) 1956
b) 1957
c) 1958
d) 1959
16. Insurance is the mechanism that helps to _____ the effects of any adverse situation
a) Increase
b) Multiply
c) Reduce
d) Divide
17. The Great Fire in London in _____, in which more than 13000 houses were lost gave boost to insurance
a) 1660
b) 1665
c) 1666
d) 1668
18. From the following which statement is correct:-
a) Insurance helps to prevent the loss due to peril
b) Peril can never be avoided
c) Both Correct
d) Both Wrong
19. Non Life Insurance is also known as _____ in many countries
a) General Insurance
b) Property
c) Casualty
d) Misc
e) Property and Casualty
20. Which of the following term is dissimilar to the other four options?
a) Peril
b) Risk
c) Hazard
d) profit
e) damage
21. With past experience the future probabilities may be predicted
a) Exactly
b) Correctly
c) Accurately
d) Some extent
22. Does life insurance have a substitute?
a) No
b) Yes
23. The insurance act has strict provisions to ensure that insurance funds are to be invested in
a) Risky avenues
b) Private Avenues
c) Loss Avenues
d) Safe avenues
24. Which insurance business in India can be done by both life and non-life companies on the basis of mutual tie-up
a) Micro insurance
b) Small insurance
c) Social insurance
d) Welfare insurance
25. Insurance companies have to pay _____ as and when they occur
a) Premiums
b) Bonus
c) Claims
d) penalty
26. When the re-insurer steps in only when there is a loss in excess of a specified limit then it is termed as-
a) Excess of Loss
b) Treaties
c) Retrocession
d) Ceding
27. The position of managing the common fund by the insurer is known as the-
a) Nominee
b) Assignee
c) Trustee
d) Pledge
28. Which is incorrect in case of risk?
a) Risk threaten asset and their earning capabilities
b) Asset may be human or material
c) Risks has to be managed
d) By managing risk its effect may be avoided, reduced or transferred
e) Risk cannot be managed
29. The business of insurance is to
a) Bring together persons with common business interest
b) Collect premium
c) Pay out compensation who suffers loss
d) All above

- 30. The most organized process of transferring risks is called-**
- Insurance*
 - Pooling of funds*
 - Endorsement*
 - Self Insurance*
- 31. General insurance business may be clarified into**
- Fire*
 - Marine*
 - Motor*
 - Misc*
 - a, b, d above*
- 32. The formation of a separate fund earmarked to meet losses, which is insured otherwise and not from a regular insurer is called –**
- Co insurance*
 - Banc assurance*
 - Life Insurance*
 - Self-insurance*
 - General Insurance*
- 33. When re-insurer reinsures himself with another insurer or re-insurer the it is called-**
- Ceding*
 - Retrocession*
 - Treaties*
 - Facultative reinsurance*
- 34. After making the provisions the balance profit is available for distribution to –**
- Shareholders as dividends*
 - Bonus to policyholders*
 - Staff as salary*
 - Agents as Commission*
 - A and b above*
- 35. When a person is exposed to the risk and feels that he is in a position to bear the losses then that is termed as-**
- Reinsurance*
 - Avoidance*
 - Retention*
 - Replacement*
- 36. The excess is held back as _____ required to meet liabilities under policies that are still in force-**
- Reserve fund*
 - Contingency fund*
 - General fund*
 - Special fund*
- 37. Insurers protect themselves from situations, which may be beyond their capacity by transferring the risk to other insurers. This transfer is called-**
- Co-insurance*
 - Transferred insurance*
 - Reinsurance*
 - Sharing of insurance*
 - Sharing of losses*
- 38. If there are two causes for the loss, whether operating simultaneously or in sequence, the _____ cause, called the proximate cause for damage, must be the insured peril**
- Latter*
 - Previous*
 - Future*
 - Immediate*
- 39. When a policyholder knowingly puts an insurer and the community of policyholders at a disadvantage, there is said to be –**
- Forward Selection*
 - Anti Selection*
 - Likewise selection*
 - Adverse selection*
- 40. A fact known to proposer but not to insurer is referred to as-**
- Non disclosure of facts*
 - Misrepresentation of facts*
 - Fraud*
 - Mistake*
- 41. Ordinary commercial contracts are governed by the principle of-**
- Let the seller beware*
 - Let the insurer beware*
 - Let the insured beware*
 - Let the buyer beware*
- 42. Which is true for insurable interest?**
- The insured must have relationship with subject matter*
 - Must have interest in safety and well being of property*
 - Must be affected by its loss or damage*
 - All Above*
- 43. Insurance is a –**
- Contract*
 - Agreement*
 - Event*
 - Transaction*

- 44. What distinguishes an insurance contract from a wagering contract**
- Utmost good faith in the subject matter of insurance*
 - Proximate cause in the subject matter of insurance*
 - Insurable interest in the subject matter of insurance*
 - Subrogation in the subject matter of insurance*
- 45. The concept of _____ is used to determine whether the cause of loss is an insured peril**
- Proximate Cause*
 - Subrogation*
 - Contribution*
 - Indemnity*
- 46. In life insurance, insurable interest must exist at the _____ of contract**
- Commencement*
 - Termination*
 - Middle*
 - Announcement*
- 47. It is possible to make a precise valuation of a human life**
- The Statement is correct*
 - The Statement is not correct*
 - The Statement is partially correct*
 - The Statement is partially incorrect*
- 48. In Fire and Miscellaneous businesses, _____ must exist at the commencement of the policy and also at the time of loss**
- insurable interest*
 - proximate cause*
 - subrogation*
 - utmost good faith*
- 49. There is no need to assess the extent of loss, because the insurable interest (on own life) is assumed to be _____**
- Unlimited*
 - Limited*
 - Part*
 - Up to a certain limit*
 - Up to earning capacity*
- 50. Find out the dissimilar word**
- Hull insurance*
 - Cargo Insurance*
 - Export/Import*
 - Loss of package*
 - Power failure*
- 51. In case of deferred annuity the date from which the annuity will commence at the end of deferment period is known as**
- Vesting date*
 - Starting date*
 - Annuity Date*
 - Deferment date*
 - Commencement date*
- 52. The two types of annuity available are _____ and _____**
- Current, Deferred*
 - Immediate, Deferred*
 - Lump-Sum, Future*
 - Immediate, Future*
- 53. When would the premium be payable-**
- Monthly*
 - Quarterly*
 - Yearly*
 - All of the Above*
- 54. Additional Benefits also called as Supplementary Benefits are provided by way of _____, in addition to the basic covers**
- Riders*
 - Drivers*
 - Jockey's*
 - None of the above*
- 55. Plans of insurance that provide only survival benefit are called**
- Term Assurance*
 - Whole Life Policy*
 - Permanent life*
 - Pure Endowment*
- 56. How is Sum Assured payable ?**
- In installments*
 - In lump sum*
 - In fixed installments*
 - All of the above*
- 57. In which Plan a percentage of sum assured is paid after every interval of period specified in the policy**
- Permanent life*
 - Money back or anticipated endowment*
 - Whole Life Policy*
 - Pure Endowment*
 - Term Assurance*

58. Cargo Insurance provides cover for goods in transit by –
- Sea
 - Air
 - Rail/road
 - All of the above
59. _____ Insurance covers damage to aircraft and liabilities to freight, passenger and third parties
- Aviation
 - Plane
 - Helicopter
 - Jet Plane
60. Sum assured increases because of –
- Participation in surpluses
 - Bonus additions
 - Guaranteed increase in Sum Assured
 - All of the Above
61. The insurance that covers sickness i.e. expenses relating to hospitalization including domiciliary hospitalization is called
- Health insurance
 - Personal Accident
 - Third Party Accident
 - Group Accident
62. The damage caused by explosion of boilers or pressure plants, to the plant, to the Surrounding property of insured and third parties is called _____
- Boiler and pressure plant policies
 - Boiler Policies
 - Pressure plant Policies
 - Explosion Policy
63. Who pays the premium under group insurance?
- Usually employers pay the premium
 - Sometimes employees also contribute some portion of the premium which may be deducted from their salaries
 - Premium is paid by individuals
 - A & B above
64. A term assurance plan with an unspecified period is called a _____ under which the sum assured is paid on death whenever it may occur
- Pure Endowment
 - Term Assurance
 - Whole Life Policy
 - Permanent life
65. Hull policies are generally issued for a period of
- 9 Months
 - 12 Months
 - 6 Months
 - 3 Months
66. In micro insurance premium payable may be
- Single Premium
 - One Year Renewable
 - Long term contracts also for 20/30 years
 - All above
67. The period for which compensation is to be provided under loss of profits policy varies from-
- 3 months to 3 years
 - 6 months to 6 years
 - 9 months to 9 years
 - 12 months to 12 years
68. Which is not the feature of an traditional plan
- Sum Assured is decided at commencement
 - SA payable on death or maturity
 - Bonus may be added as per terms of policy
 - The policy is linked to return from stock market
 - The premium would be in proportion to Sum Assured
69. _____ policies provide indemnity in respect of damages payable under law for injuries to third parties or their property
- Liability
 - Third party
 - Third party property
 - None of the above
70. Motor Insurance provides coverage for
- Motorized vehicles on road
 - Private Cars
 - Public Carriers
 - Carrying passengers or goods
 - All of above

71. _____ is the biggest portfolio in the miscellaneous class of insurance-
- Fire*
 - Motor*
 - Marine*
 - Property*
72. The obligations of the insurer may extend beyond the terms of the policy particularly in _____ insurance
- General*
 - Life*
 - Motor*
 - Marine*
73. The _____ is the consideration to be paid for the insurance
- Premium*
 - Loan*
 - Claim*
 - Salary*
 - Money*
74. Lloyd's was previously a _____ house
- Tea*
 - Rubber*
 - Coffee*
 - insurance*
 - Food*
75. Business reinsured with some reinsurer is known as _____ and business received from others as reinsurance is known as _____
- Inward reinsurance*
 - Outward reinsurance*
 - Inward insurance*
 - Outward insurance*
 - Ceded, accepted*
76. The _____ of the insurance is the period during which the insurance cover remains affective
- Duration*
 - Term*
 - Time*
 - Coverage*
 - Policy*
77. There are 3 types of condition
- Conditions Precedent*
 - Conditions Subsequent*
 - Conditions precedent to liability*
 - All Above*
78. In Fire policies, assignments are made with the consent of the _____
- Insured*
 - Insurer*
 - Re-insurer*
 - Co-insurer*
79. That which has been recovered from the damaged property is called-
- Salvage*
 - Receipt*
 - Re-occupied*
 - Recovery amount*
80. In order to facilitate customer needs for quick grant of insurance cover, _____ are issued on the spot
- Cover Paper*
 - Cover Notes*
 - Policy Document*
 - Confirmation Letter*
 - Agreement*
81. _____ date is a date in the case of a Children's policies, when the risk cover begins, if the risk does not begin on the date of commencement itself
- Future*
 - Deferred*
 - Maturity*
 - Vesting*
82. Under which method instead of paying claim under the policy the insurer replaces the property with a new one
- Agreed value policy*
 - Floater policy*
 - Family Policy*
 - Valuation Policy*
 - Replacement*
83. To gather information of the risk to be insured what document is used by the insurer
- Introductory Form*
 - Information Form*
 - Proposal Form*
 - Purpose Form*
 - Insured Form*

84. Certificates of Insurance provides evidence of insurance to comply with the provisions of _____
- Insurance Act*
 - IRDA Act*
 - Motor Vehicles Act*
 - Road Act*
 - MACT*
85. In the case of life insurance business, the _____ is the premium reserve
- General Fund*
 - Life Fund*
 - Special Fund*
 - Party Fund*
86. The _____ is the evidence of the payment of consideration-
- Cover note*
 - Chillan*
 - Policy*
 - Document*
 - Premium receipt*
87. Solatium fund has been established with contributions from
- Central Govt*
 - State Govt*
 - General Insurers*
 - Life Insurers*
 - Only a,b,c above*
88. In a life insurance policy, the person who makes the claim in the event of the death of the policyholder is called the _____
- Insured*
 - Nominee*
 - Assignee*
 - Claimant*
89. _____ tables are prepared showing expectations of death
- Mortality*
 - Fatality*
 - Death*
 - Expectation*
 - Probability*
90. Premium is higher in which type of policies
- Without profit*
 - With Profit*
 - ULIP*
 - Traditional*
91. The nominee will be able to give a valid discharge to the insurer, if there is a _____ claim
- Death*
 - Accident*
 - Injury*
 - Sickness*
92. _____ refers to the request of the policyholder to terminate the policy before it becomes a claim by death or maturity
- Surrender*
 - Closure*
 - Termination*
 - Foreclosure*
93. Which of the following are standalone health insurers in India
- Max Bupa Health Insurance*
 - Apollo Munich Health Insurance*
 - Star Health and Allied Insurance*
 - Birla Sun Life Insurance*
 - A,b,c above*
94. All Agents have to obtain licenses from the _____
- IRDA*
 - III*
 - GIC*
 - LIC*
95. Surveyor is also called-
- Loss assessor*
 - Survey Staff*
 - Accident Analyzer*
 - Survey Officer*
96. Ombudsmen are a judicial authority
- False*
 - True*
97. The Insurance Act requires that for all claims exceeding _____ in value, a report be obtained from a licensed surveyor before admitting or settling a claim under a non-life insurance policy-
- Rs.20,000*
 - Rs.25,000*
 - Rs.50,000*
 - Rs.1,00,000*

98. An agents can work for both life and non-life

- a) *False*
- b) *True*

99. A Broker is expected to have a minimum prescribed capital varying from Rs.50 Lakhs for a Direct Broker to _____ for a re-insurance or composite broker

- a) *Rs.250 Lakhs*
- b) *Rs.100 Lakhs*
- c) *Rs.500 Lakhs*
- d) *Rs.200 Lakhs*

100. The _____ was set up as the authority to regulate the insurance business

- a) *Insurance Regulatory and Development Authority (IRDA)*
- b) *Insurance Institute of India (III)*
- c) *Insurance Council*
- d) *LIC and GIC*

Answer Sheet

Question No	Your Answer	Question No	Your Answer	Question No	Your Answer	Question No	Your Answer
1		26		51		76	
2		27		52		77	
3		28		53		78	
4		29		54		79	
5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
Total Question Attempted:-				Total Correct Answer:-			

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4		29		54		79	
5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
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5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
Total Question Attempted:-				Total Correct Answer:-			

Answer Sheet

Question No	Your Answer	Question No	Your Answer	Question No	Your Answer	Question No	Your Answer
1		26		51		76	
2		27		52		77	
3		28		53		78	
4		29		54		79	
5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
Total Question Attempted:-				Total Correct Answer:-			

MOCK TEST 1 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	a	26	c	51	a	76	c
2	c	27	b	52	a	77	a
3	a	28	c	53	b	78	c
4	c	29	c	54	e	79	b
5	c	30	e	55	e	80	d
6	c	31	d	56	e	81	c
7	a	32	b	57	c	82	d
8	d	33	b	58	b	83	a
9	a	34	c	59	b	84	a
10	a	35	d	60	a	85	a
11	c	36	d	61	e	86	b
12	d	37	d	62	a	87	c
13	a	38	d	63	e	88	c
14	c	39	b	64	c	89	e
15	c	40	c	65	a	90	a
16	b	41	d	66	c	91	c
17	c	42	e	67	a	92	d
18	b	43	e	68	d	93	a
19	b	44	a	69	b	94	b
20	b	45	e	70	a	95	d
21	d	46	d	71	d	96	d
22	a	47	d	72	c	97	a
23	b	48	d	73	a	98	d
24	d	49	b	74	d	99	a
25	a	50	e	75	b	100	e

MOCK TEST 2 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	b	26	c	51	d	76	c
2	a	27	d	52	b	77	e
3	c	28	c	53	a	78	d
4	c	29	d	54	a	79	c
5	d	30	c	55	e	80	e
6	d	31	c	56	e	81	a
7	b	32	d	57	b	82	c
8	d	33	d	58	c	83	e
9	d	34	d	59	b	84	b
10	a	35	d	60	a	85	d
11	c	36	b	61	a	86	e
12	d	37	d	62	c	87	e
13	d	38	a	63	c	88	a
14	d	39	a	64	a	89	c
15	d	40	b	65	a	90	a
16	b	41	d	66	d	91	a
17	d	42	e	67	d	92	b
18	d	43	c	68	b	93	d
19	c	44	e	69	a	94	d
20	a	45	a	70	c	95	a
21	d	46	d	71	a	96	b
22	a	47	e	72	a	97	a
23	a	48	d	73	c	98	a
24	b	49	d	74	a	99	d
25	c	50	e	75	d	100	e

MOCK TEST 3 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	a	26	d	51	b	76	b
2	a	27	e	52	a	77	
3	a	28	d	53	a	78	a
4	e	29	e	54	b	79	d
5	c	30	d	55	a	80	d
6	a	31	a	56	a	81	b
7	c	32	a	57	c	82	c
8	a	33	a	58	d	83	b
9	a	34	b	59	b	84	a
10	a	35	b	60	c	85	d
11	a	36	a	61	c	86	a
12	b	37	b	62	a	87	a
13	c	38	c	63	b	88	d
14	a	39	a	64	b	89	a
15	c	40	d	65	a	90	e
16	a	41	a	66	a	91	a
17	d	42	a	67	a	92	c
18	b	43	b	68	a	93	a
19	a	44	d	69	f	94	b
20	b	45	c	70	a	95	b
21	a	46	a	71	c	96	a
22	e	47	c	72	a	97	a
23	e	48	a	73	e	98	b
24	b	49	d	74	d	99	a
25	e	50	a	75	d	100	a

MOCK TEST 4 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	b	26	a	51	a	76	b
2	c	27	c	52	b	77	d
3	a	28	e	53	d	78	b
4	b	29	d	54	a	79	a
5	b	30	a	55	d	80	b
6	a	31	e	56	d	81	b
7	a	32	d	57	b	82	e
8	a	33	b	58	d	83	c
9	a	34	e	59	a	84	c
10	b	35	c	60	d	85	b
11	a	36	a	61	a	86	e
12	e	37	c	62	a	87	e
13	d	38	d	63	d	88	d
14	d	39	d	64	c	89	a
15	a	40	a	65	b	90	b
16	c	41	d	66	d	91	a
17	c	42	d	67	a	92	a
18	d	43	a	68	d	93	e
19	e	44	c	69	a	94	a
20	d	45	a	70	e	95	a
21	d	46	a	71	b	96	a
22	a	47	b	72	b	97	a
23	d	48	a	73	a	98	b
24	a	49	a	74	c	99	a
25	c	50	e	75	e	100	a